

Rpt Date 24/Aug/2006			Well Name/No Bilabri D 2			Section Name/No 12.25" pilot section #4			Mud System SYN-TEQ (PARA)								
Job# 1		Spud Date 05/Jul/2006			MD 2912.00 m			Progress 49.00 m			Present Activity Tripping						
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough /Terry Nanidis.								
Field/Lease Bilabri			Blk/Co/Parish OML - 122 / Nigeria			Area Offshore			Country/State Nigeria			Rig BULFORD DOLPHIN					
Drilling Assembly						Casing			Volumes	Pump Information							
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		HCC		PDC			19 1/2	178.00	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	83	416
Drill Collars			Drill Pipe			13 3/8	12.415	1622.00	1464.8	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	67	336
OD in	ID in	Length m	OD in	ID in	Length m		12 1/4	2912.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
9 1/2	2.800	18.26	5	4.276	2697.44				444								
8 1/2	2.800	29.09	5	3	166.87				Tot Active								
									1908.8	Circulation Times							
									In Storage	Surface to Bit		9.1 min/1366stks		Total System		107.9 min/16192stks	
									219	Bottoms Up		72.7 min/10899stks					
Mud Properties						Max Ann Velocity			Hole Information								
Property		Fluid Spec		1	2	3	AV Riser		51.91 ft/min	Standpipe Pressure		3180 psi		Water Depth			152.00 m
Sample From				Reserve	Active Pit	Active Pit	AV Casing		142.82 ft/min	Hole Flow		752 USgal/min		Riser Booster Rate			USgal/min
Check Time				03:30	10:00	23:30	AV Open Hole		308.33 ft/min	Solids Analysis							
MD m				2912.00	2912.00	2912.00	Vc Open Hole		511.97 ft/min	Property	1	2	3	4			
TVD m				2573.00	2573.00	2573.00	Vc Drill Pipe		431.64 ft/min	LGS %	5.28	9.07	8.30				
Bit Depth m				2912.00	2912.00	2912.00	Min Ann Velocity		LGS lb/bbl	48.10	82.64	75.60					
Inc deg					25.00	25.00	AV Riser		51.91 ft/min	HGS %	6.06	4.21	5.06				
Density ppg		10.00-10.50	10.00	10.10	10.20	AV Casing		142.82 ft/min	HGS lb/bbl	89.18	61.91	74.56					
Funnel Visc. sec/quart				50.0	76.0	79.0	AV Open Hole		147.46 ft/min	Avg Dens Sol sg	3.4550	3.1069	3.2065				
Flow Line Temp degF						139.0	Bit Information										
Test Temp degF				98.0	134.0	124.0	Size		12 1/4 in								
Rheol Temp degF				120.0	120.0	120.0	Hours On Bit										
PV cP				23	30	32	Bit Number										
YP lbf/100ft^2				15	32	34	BHA Number		5	Rheology							
10sec Gel lbf/100ft^2				5	15	16	Depth In		m	600 RPM	61	92	98				
10min Gel lbf/100ft^2				7	27	29	Bit RPM			300 RPM	38	62	66				
HTHP Filtrate cc				4.0	3.2	3.2	WOB		klbf	200 RPM	25	49	50				
HTHP Cake in/32				2.0	2.0	2.0	Nozzles		7x16	100 RPM	19	35	40				
HTHP Temp degF				250.0	250.0	250.0	Bit Hydraulics		6 RPM	8	14	15					
HTHP Pressure psi				500	500	500	TFA		1.3744 in^2								

**BAKER
HUGHES**

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 175	30.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 175	30.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 175	30.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	90	0	

Additions bbl				Losses bbl				Total Volumes bbl			
Mud Added		Weight Materials		Downhole		Left In Pit		Starting Volume	2162.5	Riser w/o Pipe	215.7
Brine		Water		Cased Off		Trip Losses		Daily Additions	60.4	Casing w/o Pipe	709.3
Base Fluid	55	Product	5.4	Left In Hole		Injected		Daily Losses	95	Open Hole w/o Pipe	617.0
Recycled		Other		Discharged		Spill To Environment		Ending Volume	2127.9	String Displacement	77.2
				SCE	90	Onshore Disposal		Net Change	-34.6	String Capacity	163.2
				Evaporation		Returned				Total Hole w/ Pipe	1464.8
				Other Losses	5					Total Active	1908.8
										Total Reserve	219.0

Circulate	4.5	Drilling Formation	3	Tripping	16	Miscellaneous	0.5
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Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	18760.12	Daily Product Cost	0.00	Primary Product	1196171.62
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	48150.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	19660.12	Total Daily Cost	0.00	Primary Total	1244321.62
Total Inventory Value	461939.53	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	385.92 UK ton

Products and Services														
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl

Bulk											
BARITE - Imported	1000 kg	258					258	540.00		0.08	0.11
Oil Based Product											
CARBO-GEL	25 kg	200					200	264.28		5.21	8.47
MIL-LIME	25 kg	160				40	120	34.25	1370.00	6.71	1.94
OMNI-COTE	55 USgal	8					8	2150.00			
OMNI-MUL	55 USgal	18				2	16	995.06	1990.12	3.40	0.88
OMNI-PLEX	55 USgal	17					17	1618.95		2.87	3.23
OMNI-TEC	55 USgal	20					20	923.00		0.60	0.05
PARA-TEQ	1 bbl	523				55	468	280.00	15400.00		
SA 58	50 lb							97.10			

CALCIUM CHLORIDE (97%)	50 lb	40					40	21.00		7.19	1.88
CAUSTIC SODA	25 kg	17					17	37.89		0.04	0.05
POTASSIUM CHLORIDE BRINE	1 bbl	189					189	46.85		51.55	68.27
XANTHANGUM D	25 kg	40					40	345.22		0.26	0.35

CALCIUM CARBONATE - FINE	25 kg	200					200	21.68		0.01	0.01
CALCIUM CARBONATE - MED	25 kg	220					220	21.68		0.04	0.05
KWIKSEAL - MEDIUM	50 lb	39					39	70.52		0.03	0.04
MIL-PLUG FINE	50 lb	84					84	27.01			
MIL-SEAL MEDIUM	50 lb	90					90	36.00			
SOLUFLAKE F	50 lb	158					158	57.24			
SOLUFLAKE M	50 lb	80					80	57.24			

Other												
SAW DUST	25 kg	30						30	12.50			

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.